

Lai Yih Footwear (6890 TT)

 Target price: **TWD230.00** (from TWD160.00)

 Share price (3 Sep): **TWD169.00** | Up/downside: **+36.1%**

5 4 3 2 1

 **Buy**
 (from Hold)

Upgrading: improving fundamentals

- 2Q26 results beat expectations in revenue and gross margin
- Brighter order visibility in 2H26E and 2027E; new client in 2H26
- Upgrading to Buy (1) from Hold (3); raising 12M TP to TWD230

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What's new: We received an update from Lai Yih's management after its upbeat 2Q26 results (see [memo](#), 25 August). We are more confident in its revenue and operating profit returning to growth YoY in 2H26E and 2027E on new model launches from its key clients, a new client win and better seasonality approaching in 4Q26E, and thus, upgrade Lai Yih to Buy (1) from Hold (3).

What's the impact: 2Q26 results key highlight: better-than-expected client and product mix. In 2Q26, we noticed that Lai Yih's revenue and gross margin beat expectations on more favourable client and product mix. Its operating profit of TWD1.203bn (+566.6% QoQ and +8.7% YoY) beat our and Bloomberg consensus estimates by a respective 26.6% and 41.1%. Lai Yih's client mix for 2Q26 included Adidas (53.4%; -2.5% YoY), Hoka (36%; +9.0% YoY, record-high revenue mix level), Converse (7.8%; -41.5% YoY) and New Balance (2.8%; -19.6% YoY).

Brighter 2H26E and 2027E outlook with rising new model launches from existing clients; we assume one new client in 4Q26. We believe 3Q26E will be off-peak season for Lai Yih, but expect its revenue momentum to pick up QoQ in 4Q26E, along with gross margin expansion QoQ. Given the company's track record with Adidas and Hoka, management noted it is in discussion with several potential new clients; we assume one new client to onboard in 4Q26. Lai Yih aims for 2027 shipments to return to 2025 levels. Despite continuing inflation, the company targets to gain more high-end shoes with higher ASP to drive its overall ASP and gross margin expansion. Besides, Hoka will start to initiate new products in 2H26, which we believe will be positive to Lai Yih's gross margin. Our 2026-27E EPS remain almost unchanged, and we introduce our 2028 forecasts, calling for EPS growth of 10% YoY.

What we recommend: We upgrade Lai Yih to Buy (1) from Hold (3) and raise our 12M TP to TWD230 (from TWD160) mainly on improving fundamentals expected from 2H26E. Due to a recovering earnings trajectory, we now use a target PER of 18x (from 15x), vs. its past-3-year range of 12-33x (average PER of 20x), applied to our 1-year forward EPS. We forecast an earnings CAGR of 18.5% over 2026-28 (previously -1.6% over 2025-27E). Downside risks: weaker-than-expected end demand; lower-than-expected market share gain; inflation.

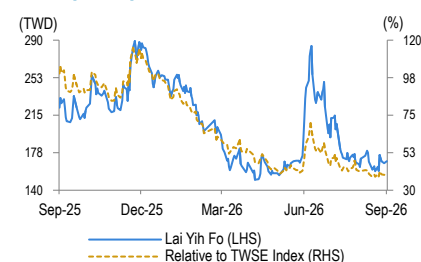
How we differ: Our 2026-28E EPS are 15-22% below the Bloomberg consensus, likely as we are more conservative on revenue and gross margin. However, we believe we are more positive on Lai Yih's client win capability riding on the product mix optimisation trend.

Forecast revisions (%)

Year to 31 Dec	26E	27E	28E
Revenue change	1.7	4.8	n.a.
Net profit change	6.1	7.9	n.a.
Core EPS (FD) change	0.1	0.3	n.a.

Source: Daiwa forecasts

Share price performance



12-month range	150.50-289.00
Market cap (USDbn)	1.33
3m avg daily turnover (USDm)	5.70
Shares outstanding (m)	249
Major shareholder	Chung family (43.0%)

Financial summary (TWD)

Year to 31 Dec	26E	27E	28E
Revenue (m)	37,676	40,915	42,171
Operating profit (m)	3,203	4,051	4,470
Net profit (m)	2,661	3,395	3,735
Core EPS (fully-diluted)	10.013	12.582	13.844
EPS change (%)	(22.7)	25.7	10.0
Daiwa vs Cons. EPS (%)	(20.3)	(14.9)	(21.8)
PER (x)	16.9	13.4	12.2
Dividend yield (%)	4.1	5.2	5.8
DPS	6.9	8.8	9.7
PBR (x)	1.7	1.6	1.5
EV/EBITDA (x)	8.1	6.5	5.8
ROE (%)	10.7	12.9	13.4

Source: FactSet, Daiwa forecasts

Lai Yih: revisions to Daiwa's revenue and earnings forecasts

(TWDm)	2026E			2027E			2028E		
	New	Previous	Change	New	Previous	Change	New	Previous	Change
Sales	37,676	37,029	1.7%	40,915	39,035	4.8%	42,171	n.a.	n.a.
Gross profit	5,877	5,925	-0.8%	6,833	6,636	3.0%	7,253	n.a.	n.a.
Gross profit margin	15.6%	16.0%	-0.4pp	16.7%	17.0%	-0.3pp	17.2%	n.a.	n.a.
Operating profit	3,203	3,147	1.8%	4,051	3,943	2.7%	4,470	n.a.	n.a.
Operating profit margin	8.5%	8.5%	0pp	9.9%	10.1%	-0.2pp	10.6%	n.a.	n.a.
Net profit	2,661	2,508	6.1%	3,395	3,147	7.9%	3,735	n.a.	n.a.
Net profit margin	7.1%	6.8%	0.3pp	8.3%	8.1%	0.2pp	8.9%	n.a.	n.a.
EPS (TWD)	10.01	10.00	0.1%	12.58	12.55	0.3%	13.84	n.a.	n.a.

Source: Company, Daiwa forecasts

Lai Yih: 2Q26 results review

(TWDm)	2Q26 results	Daiwa forecast	Difference	Consensus	Difference
Revenue	10,823	10,000	8.2%	10,096	7.2%
Gross profit	1,884	1,650	14.2%	1,569	20.1%
Operating profit	1,203	950	26.6%	853	41.1%
Profit before tax	1,184	992	19.4%	925	28.0%
Net profit	942	773	21.9%	697	35.2%
Basic EPS (TWD)	3.78	3.10	21.9%	2.90	30.5%
Margin					
Gross margin	17.4%	16.5%	0.9pp	15.5%	1.9pp
Operating margin	11.1%	9.5%	1.6pp	8.4%	2.7pp
Pre-tax margin	10.9%	9.9%	1pp	9.2%	1.8pp
Net margin	8.7%	7.7%	1pp	6.9%	1.8pp

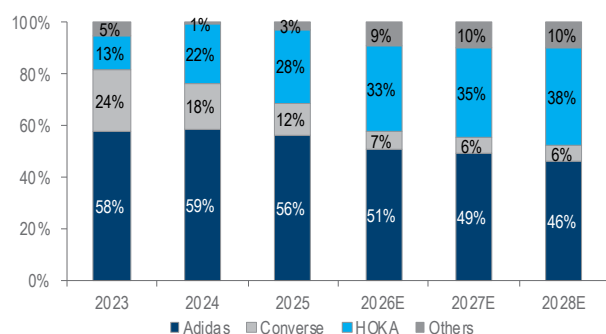
Source: Company, Daiwa forecasts, Bloomberg

Lai Yih: quarterly P&L

(TWDm)	2026E				2027E				2026E	2027E	2028E
	1Q26	2Q26	3Q26E	4Q26E	1Q27E	2Q27E	3Q27E	4Q27E			
Revenue	7,078	10,823	8,787	10,988	7,500	11,700	9,000	12,715	37,676	40,915	42,171
Gross profit	825	1,884	1,318	1,851	1,125	2,024	1,440	2,244	5,877	6,833	7,253
Operating profit	180	1,203	650	1,170	465	1,322	747	1,516	3,203	4,051	4,470
Pre-tax profit	247	1,184	670	1,189	507	1,364	789	1,558	3,290	4,217	4,640
Net profit	188	942	549	982	415	1,118	647	1,214	2,661	3,395	3,735
Basic EPS (TWD)	0.75	3.78	2.20	3.94	1.67	4.48	2.59	4.87	10.67	13.61	14.98
Margin											
Gross margin	11.7%	17.4%	15.0%	16.8%	15.0%	17.3%	16.0%	17.6%	15.6%	16.7%	17.2%
Operating margin	2.5%	11.1%	7.4%	10.6%	6.2%	11.3%	8.3%	11.9%	8.5%	9.9%	10.6%
Pre-tax margin	3.5%	10.9%	7.6%	10.8%	6.8%	11.7%	8.8%	12.3%	8.7%	10.3%	11.0%
Net margin	2.7%	8.7%	6.2%	8.9%	5.5%	9.6%	7.2%	9.6%	7.1%	8.3%	8.9%
YoY											
Revenue	-26.9%	-4.4%	9.5%	4.0%	6.0%	8.1%	2.4%	15.7%	-4.8%	8.6%	3.1%
Gross profit	-51.5%	4.0%	12.7%	11.0%	36.4%	7.4%	9.3%	21.2%	-7.4%	16.3%	6.2%
Operating profit	-82.7%	8.7%	9.7%	12.8%	157.7%	9.9%	14.9%	29.6%	-15.2%	26.5%	10.4%
Pre-tax profit	-78.7%	1.3%	-2.4%	-3.1%	105.1%	15.2%	17.8%	31.0%	-22.5%	28.2%	10.0%
Net profit	-79.4%	9.4%	7.8%	1.9%	120.9%	18.7%	17.8%	23.7%	-18.1%	27.6%	10.0%
QoQ											
Revenue	-33.0%	52.9%	-18.8%	25.0%	-31.7%	56.0%	-23.1%	41.3%			
Gross profit	-50.5%	128.5%	-30.0%	40.4%	-39.2%	79.9%	-28.9%	55.8%			
Operating profit	-82.6%	566.6%	-45.9%	79.9%	-60.2%	184.3%	-43.5%	103.0%			
Pre-tax profit	-79.9%	379.2%	-43.4%	77.6%	-57.4%	169.2%	-42.2%	97.6%			
Net profit	-80.5%	401.0%	-41.7%	78.8%	-57.7%	169.2%	-42.2%	87.8%			

Source: Company, Daiwa forecasts

Lai Yih: revenue by client



Source: Company, Daiwa forecasts

Lai Yih: 1-year forward PER



Source: Bloomberg, Daiwa forecasts

Financial summary

Key assumptions

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Adidas revenue YoY growth (%)	n.a.	n.a.	n.a.	n.a.	1.1	(14.7)	5.5	(3.4)
Hoka YoY growth (%)	n.a.	n.a.	n.a.	n.a.	33.1	10.3	14.2	13.7
Converse YoY growth (%)	n.a.	n.a.	n.a.	n.a.	(27.6)	(45.4)	(5.0)	0.0

Profit and loss (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Adidas	n.a.	n.a.	16,176	22,086	22,327	19,048	20,097	19,412
Hoka	n.a.	n.a.	3,760	8,469	11,269	12,424	14,184	16,125
Other Revenue	n.a.	n.a.	8,080	7,135	5,999	6,203	6,633	6,633
Total Revenue	19,961	31,338	28,016	37,690	39,595	37,676	40,915	42,171
Other income	0	0	0	0	0	0	0	0
COGS	(17,370)	(25,648)	(24,243)	(30,231)	(33,248)	(31,798)	(34,082)	(34,917)
SG&A	(1,415)	(1,715)	(1,648)	(2,083)	(1,868)	(1,846)	(1,964)	(1,940)
Other op.expenses	(476)	(651)	(616)	(692)	(702)	(828)	(818)	(843)
Operating profit	700	3,324	1,509	4,684	3,776	3,203	4,051	4,470
Net-interest inc./(exp.)	(48)	(85)	(99)	(66)	(98)	24	87	90
Assoc/forex/extraord./others	(8)	357	465	653	565	63	80	80
Pre-tax profit	644	3,597	1,874	5,270	4,244	3,290	4,217	4,640
Tax	(407)	(881)	(564)	(1,101)	(828)	(641)	(822)	(905)
Min. int./pref. div./others	(16)	(210)	69	(351)	(168)	13	0	0
Net profit (reported)	221	2,505	1,378	3,818	3,248	2,661	3,395	3,735
Net profit (adjusted)	221	2,505	1,378	3,818	3,248	2,661	3,395	3,735
EPS (reported)(TWD)	1.004	11.388	6.265	16.131	13.022	10.667	13.611	14.977
EPS (adjusted)(TWD)	1.004	11.388	6.265	16.131	13.022	10.667	13.611	14.977
EPS (adjusted fully-diluted)(TWD)	1.004	11.388	6.265	16.113	12.952	10.013	12.582	13.844
DPS (TWD)	3.000	5.000	4.410	9.000	9.000	6.934	8.847	9.735
EBIT	700	3,324	1,509	4,684	3,776	3,203	4,051	4,470
EBITDA	1,883	5,066	3,438	6,711	5,657	4,588	5,550	6,107

Cash flow (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Profit before tax	644	3,597	1,874	5,270	4,244	3,290	4,217	4,640
Depreciation and amortisation	1,192	1,385	1,465	1,375	1,316	1,323	1,420	1,557
Tax paid	(909)	(435)	(794)	(595)	(1,095)	(641)	(822)	(905)
Change in working capital	2,258	(1,985)	1,138	(5,006)	550	(298)	(423)	(530)
Other operational CF items	7	(608)	(1,400)	(1,124)	(1,217)	(24)	(87)	(90)
Cash flow from operations	3,192	1,954	2,283	(79)	3,799	3,649	4,305	4,672
Capex	(841)	(1,362)	(2,523)	(2,540)	(1,559)	(2,000)	(2,000)	(2,000)
Net (acquisitions)/disposals	3	(207)	291	47	75	(3)	(3)	(3)
Other investing CF items	(10)	(147)	64	(564)	(5)	0	0	0
Cash flow from investing	(847)	(1,716)	(2,168)	(3,057)	(1,489)	(2,003)	(2,003)	(2,003)
Change in debt	1,699	(1,407)	443	(613)	3,822	0	0	0
Net share issues/(repurchases)	0	0	0	0	0	0	0	0
Dividends paid	(1,056)	(660)	(1,100)	(1,100)	(2,245)	(1,746)	(1,730)	(2,207)
Other financing CF items	(13)	(22)	(33)	3,259	(55)	0	0	0
Cash flow from financing	630	(2,089)	(690)	1,545	1,523	(1,746)	(1,730)	(2,207)
Forex effect/others	0	0	0	0	0	0	0	0
Change in cash	2,974	(1,851)	(575)	(1,591)	3,833	(100)	572	462
Free cash flow	2,351	1,299	1,259	(1,431)	3,554	1,649	2,305	2,672

Source: FactSet, Daiwa forecasts

Financial summary continued ...

Balance sheet (TWDm)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Cash & short-term investment	6,022	4,655	4,419	3,966	7,988	7,961	8,685	9,300
Inventory	4,502	3,776	4,089	6,003	4,713	5,421	5,319	5,700
Accounts receivable	1,309	4,066	3,582	7,448	7,383	7,221	7,731	8,025
Other current assets	698	1,219	1,991	2,394	2,499	2,499	2,499	2,499
Total current assets	12,530	13,715	14,080	19,812	22,583	23,101	24,234	25,524
Fixed assets	9,366	9,852	11,000	12,298	11,769	12,446	13,027	13,470
Goodwill & intangibles	10	8	10	12	17	17	17	17
Other non-current assets	1,353	1,947	1,469	1,975	1,725	1,725	1,725	1,725
Total assets	23,258	25,522	26,559	34,097	36,094	37,289	39,003	40,735
Short-term debt	3,666	3,035	3,760	3,312	1,848	1,848	1,848	1,848
Accounts payable	2,248	2,343	3,270	4,084	3,382	3,617	3,591	3,723
Other current liabilities	275	523	244	769	393	116	116	116
Total current liabilities	6,189	5,902	7,274	8,165	5,623	5,581	5,554	5,686
Long-term debt	887	492	0	0	0	0	0	0
Other non-current liabilities	304	552	559	603	5,309	5,309	5,309	5,309
Total liabilities	7,380	6,947	7,833	8,768	10,932	10,890	10,863	10,995
Share capital	2,200	2,200	2,200	2,494	2,494	2,494	2,494	2,494
Reserves/R.E./others	12,839	15,358	15,545	21,906	21,672	22,923	24,663	26,264
Shareholders' equity	15,039	17,558	17,745	24,400	24,166	25,417	27,157	28,758
Minority interests	840	1,017	981	929	995	982	982	982
Total equity & liabilities	23,258	25,522	26,559	34,097	36,094	37,289	39,003	40,735
EV	41,520	42,041	42,473	42,425	37,005	37,019	36,295	35,680
Net debt/(cash)	(1,470)	(1,127)	(659)	(654)	(6,140)	(6,113)	(6,837)	(7,452)
BVPS (TWD)	68.358	79.810	80.660	103.081	96.898	101.910	108.887	115.303

Key ratios (%)

Year to 31 Dec	2021	2022	2023	2024	2025	2026E	2027E	2028E
Sales (YoY)	(22.4)	57.0	(10.6)	34.5	5.1	(4.8)	8.6	3.1
EBITDA (YoY)	(53.7)	169.0	(32.1)	95.2	(15.7)	(18.9)	21.0	10.0
Operating profit (YoY)	(75.3)	374.8	(54.6)	210.4	(19.4)	(15.2)	26.5	10.4
Net profit (YoY)	(89.3)	1,034.5	(45.0)	177.0	(14.9)	(18.1)	27.6	10.0
Core EPS (fully-diluted) (YoY)	(92.4)	1,034.5	(45.0)	157.2	(19.6)	(22.7)	25.7	10.0
Gross-profit margin	13.0	18.2	13.5	19.8	16.0	15.6	16.7	17.2
EBITDA margin	9.4	16.2	12.3	17.8	14.3	12.2	13.6	14.5
Operating-profit margin	3.5	10.6	5.4	12.4	9.5	8.5	9.9	10.6
Net profit margin	1.1	8.0	4.9	10.1	8.2	7.1	8.3	8.9
ROAE	1.4	15.4	7.8	18.1	13.4	10.7	12.9	13.4
ROAA	0.9	10.3	5.3	12.6	9.3	7.3	8.9	9.4
ROCE	3.5	15.6	6.8	18.3	13.6	11.6	13.9	14.5
ROIC	1.7	15.8	5.9	17.3	13.9	13.1	15.7	16.5
Net debt to equity	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Effective tax rate	63.2	24.5	30.1	20.9	19.5	19.5	19.5	19.5
Accounts receivable (days)	55.0	31.3	49.8	53.4	68.4	70.7	66.7	68.2
Current ratio (x)	2.0	2.3	1.9	2.4	4.0	4.1	4.4	4.5
Net interest cover (x)	14.6	39.3	15.2	70.6	38.7	n.a.	n.a.	n.a.
Net dividend payout	298.9	43.9	70.4	55.8	69.1	65.0	65.0	65.0
Free cash flow yield	5.6	3.1	3.0	n.a.	8.4	3.9	5.5	6.3

Source: FactSet, Daiwa forecasts

Company profile

Established in 1987, Lai Yih is a footwear manufacturer that collaborates with Adidas (56.4% of total revenue in 2025), Hoka (28.5%), Converse (12.4%) and Uniqlo. Its expertise lies in the production of high-quality vulcanised shoes, athletic footwear, cold pressed shoes, and specialised functional footwear. Lai Yih Group is headquartered in Taichung (Taiwan) and its production plants and development centres for clients are mainly based in Vietnam (91% of total shipment in 2025), Myanmar (7%) and Indonesia (1%).

ESG analysis

ESG risks

Risks		Management	Analyst comments
G	Executive/board quality	1	The CEO and chairperson of Lai Yih is not the same individual. We note that the CEO, Mr. Lin, has 35 years of experience in this industry, which is a positive sign from an executive perspective.
	Capital management	1	Lai Yih's dividend payout ratio was 44-70% over 2022-25, which we see as rational due to its capacity expansion plans.
	Related party & transaction	1	Revenue generated from related-party transactions was less than 1% of total revenue during 2022-25, and we note no suspicious activity.
G	Supply chain management	2	In supply chain management, the company emphasises product quality and safety. Due to its focus on supply chain transparency, it has designated sales specialists to provide suppliers with prompt responses to issues.
E	Materials sourcing & efficiency	2	For raw materials and energy usage, the company prioritises environmental sustainability. Its production processes adhere to safety certifications and standardized procedures, while it strives to improve energy efficiency and reduce pollution.

Note: Management score represents a company's ability to manage/benefit from certain ESG topics. The scores range from 1 to 3, with 1 being the strongest.

Update Date: 3 Sep 2026

Source: Daiwa, Company

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Rating	Percentage of total
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Hold**	20.53%
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Source: Daiwa

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